

**CHAPTER cxxviii.**

An Act for reorganising the capital of the G. H. Hammond Company Limited and enabling that Company to redeem and convert its debentures and income stock. A.D. 1900.

[30th July 1900.]

WHEREAS the capital of the G. H. Hammond Company Limited (hereinafter called "the Company") as fixed by its memorandum of association is nine hundred and forty thousand pounds divided into ninety-four thousand shares of ten pounds each:

And whereas Article 4 of the Company's articles of association provides that the forty-seven thousand shares of the original capital numbered one to forty-seven thousand inclusive shall be preference shares and the forty-seven thousand shares numbered forty-seven thousand and one to ninety-four thousand shall be ordinary shares and that in the event of a winding-up of the Company the holders of the preference shares shall be entitled to receive in full out of the assets of the Company the amounts paid on such shares in priority to the claims of the holders of ordinary shares to be paid any amount on such shares:

And whereas under Article 116 of the said articles of association the profits of the Company available for distribution are applicable first in payment of a cumulative dividend at the rate of eight per centum per annum upon the amounts paid on the said preference shares and subject thereto are distributable as dividend among the holders of ordinary shares in proportion to the amounts paid on the ordinary shares held by them respectively:

And whereas the whole of the said capital has been issued and is fully paid:

And whereas the total amount paid in dividends on the preference shares up to the thirty-first October one thousand eight hundred and ninety-four was less than eight per centum per annum by three pounds ten shillings per share and such arrears of dividends

A.D. 1900.

were discharged by the issue to holders of preference shares of income stock hereinafter described equal in nominal value to such arrears :

And whereas in July one thousand eight hundred and ninety-five the Company paid a dividend of eight per centum on its preference shares but have since paid no dividend thereon :

And whereas no dividend has ever been paid on the said ordinary shares :

And whereas the said income stock bears interest at the rate of six per centum per annum payable out of profits and is redeemable at par at the option of the Company on six months notice and the principal and arrears of interest thereon are payable only out of the surplus assets of the Company after payment of all liabilities but in priority to the claims of holders of shares :

And whereas there is now outstanding income stock to the amount of one hundred and sixty-four thousand five hundred pounds the interest in arrear on which on the thirtieth day of September one thousand eight hundred and ninety-nine amounted to thirty-nine thousand four hundred and eighty pounds :

And whereas in the year one thousand eight hundred and ninety the Company issued debentures for the sum in the aggregate of three hundred and forty thousand pounds bearing interest at the rate of six per centum per annum and maturing on the first day of January one thousand nine hundred and ten :

And whereas by a deed dated the twenty-fourth day of April one thousand eight hundred and ninety made between Alexander Harvey of the one part and the Central Trust Company of New York a corporation constituted under the laws of the State of New York and Thomas Hammond as trustees for the holders of the said debentures then about to be issued of the other part certain land and buildings therein described situate partly in each of the States of Illinois Indiana New York and Nebraska and also certain refrigerator cars and other rolling stock were with the consent of the Company charged as security for the payment of the principal money and interest payable under the said debentures :

And whereas the said property charged by the deed of the twenty-fourth day of April one thousand eight hundred and ninety was in order to comply with the laws of the said States conveyed subject to the deed of the twenty-fourth day of April one thousand eight hundred and ninety to "the G. H. Hammond Company" a corporation constituted under the laws of the State of Michigan (hereinafter called "the Michigan Corporation") :

A.D. 1900.

And whereas by a deed dated the fifteenth day of May one thousand eight hundred and ninety and made between the Company of the first part the Central Trust Company of New York as trustees for the holders of the said debentures of the second part and the Michigan Corporation of the third part the said debentures were with the consent of the Company further secured by a charge on one hundred and eighty-seven thousand five hundred shares (part of two hundred and fifty thousand fully-paid shares of ten dollars each) of the Michigan Corporation owned by the Company :

And whereas in addition to the said two hundred and fifty thousand shares the Company also owns one hundred and nine thousand nine hundred and ninety-three fully paid shares of ten dollars each of the Michigan Corporation making the total holding of the Company in the Michigan Corporation three hundred and fifty-nine thousand nine hundred and ninety-three shares all fully paid :

And whereas the Company has entered into agreements with certain individuals for the sale to them of two hundred and sixty-one thousand five hundred and ninety-three of the last-mentioned shares (being seventy-three per cent. of the total holding of the Company in the Michigan Corporation) conditionally upon this Act being passed for the sum of one hundred and sixty-five thousand pounds or thereabouts :

And whereas the Michigan Corporation is willing to undertake the obligation of the Company under the said debentures and to pay off at once six per centum of the nominal amount of each debenture in cash and in discharge of the balance to issue to each holder its own bonds secured on the property comprised in the deed of the twenty-fourth day of April one thousand eight hundred and ninety for ninety-four per centum (being the balance) of the nominal amount of the debentures of the Company held by him :

And whereas it is expedient that the capital of the Company should be reorganised consolidated and reduced and that the perpetual rights attached to the said preference shareholders should be put an end to and that the said debentures should be in part converted and in part paid off as hereinbefore mentioned and that provision should be made for redeeming the said income stock :

And whereas the holders of upwards of three fourths in value of the said debentures have consented in writing to their debentures being in part converted and in part paid off as hereinbefore mentioned :

And whereas there are no means whereby the holders of the remainder of the said debentures can be compelled to accept such

A.D. 1900. — conversion and payment as aforesaid and whereby the other objects of this Act can be effected without the Company going into liquidation :

And whereas the arrangements hereinbefore set forth as to the purchase of the shares of the Michigan Corporation and the exchange of the debentures of the Company for bonds of the Michigan Corporation are conditional upon the Company not going into liquidation :

And whereas the objects of this Act cannot be effected without the authority of Parliament :

May it therefore please Your Majesty that it may be enacted and be it enacted by the Queen's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows:—

Short title. 1. This Act may be cited as the *G. H. Hammond Company (Limited) Act 1900*.

Interpretation. 2. In this Act the term "the Company" means the *G. H. Hammond Company Limited* the term "the Michigan Corporation" means the corporation constituted under the laws of the State of Michigan under the name of "the *G. H. Hammond Company*" the term "preference shares" means the preference shares of the original capital of the Company and the term "ordinary shares" means the ordinary shares of the same capital.

Conversion of shares and return of capital. 3. On receipt of the purchase money resulting from the sale of the said shares of the Michigan Corporation the Company shall return on account of capital to each holder of preference shares the sum of one pound five shillings for each preference share held by him and to each holder of ordinary shares the sum of five shillings for each ordinary share held by him and shall register each holder of preference shares in the books of the Company as the holder of two pounds fifteen shillings of fully paid ordinary stock in respect of each preference share held by him and shall register each holder of ordinary shares in the books of the Company as the holder of one pound of fully paid ordinary stock in respect of each ordinary share held by him and thereupon all preference and ordinary shares and all claims in respect of arrears of dividend thereon shall be and be deemed to be cancelled and extinguished and the capital of the Company shall be one hundred and eighty-five thousand pounds consisting of fully paid ordinary stock of that amount.

4. The Company may at any time within twelve months after the passing of this Act convert its debentures by payment to the holders thereof of a sum in cash equal to six per centum of the nominal or face value thereof and by delivering or causing to be delivered to such holders bonds of the Michigan Corporation equal in nominal value to the remaining ninety-four per centum the bonds so to be delivered forming part of an issue of not exceeding one million five hundred and fifty thousand dollars in bonds of one thousand dollars five hundred dollars and one hundred dollars each payable in gold to the bearer thereof on a given date not exceeding twelve years from the date fixed as hereinafter provided for the presentation of the Company's debentures bearing interest as from such date at the rate of six per centum per annum payable half-yearly and constituting a charge *pari passu* upon the immovable property and refrigerator cars comprised in the hereinbefore mentioned deed of the twenty-fourth day of April one thousand eight hundred and ninety now owned by the Michigan Corporation but subject to such scheme (if any) as may be determined for the redemption of such bonds at not less than par before maturity.

A.D. 1900.

Description
of bonds to be
substituted
for debentures.

5. The Company shall give notice of its intention to convert its debentures by advertisement in such newspapers published in England or in the United States of America and in such form as the judge exercising the jurisdiction of the High Court under the Companies (Winding-up) Act 1890 may direct. Such notice shall set forth the nominal amount of bonds of the Michigan Corporation and the amount in cash to be given in exchange for every one hundred pounds in debentures of the Company and the rate of interest to be payable upon the said bonds and the date upon which the principal thereof will be payable and the scheme (if any) for their earlier redemption and shall state the day (not being less than twenty-one days from the first publication of the notice) on which and the place or places where such cash and bonds will be paid and delivered respectively on presentation and delivery up of debentures of the Company and shall contain an intimation that as from that day all rights under the Company's debentures except the right to exchange the same for such cash and bonds with interest up to that date shall cease.

Notice of
intention
to convert
debentures.

6. Upon or at any time after the date fixed by such notice but not less than three days after presentation the Company shall cause to be paid and delivered at the place therein mentioned to every person presenting there a debenture or debentures of the Company cash equal to six per centum and bonds of the Michigan

Conversion
and part
payment of
debentures.

A.D. 1900. Corporation equal in nominal value to ninety-four per centum of the nominal or face value of the debenture or debentures so presented together with interest in cash on the debenture or debentures presented up to the date fixed by the notice for such presentation and as from the date so fixed unless payment of such cash and interest and delivery of such bonds be wrongly refused all rights claims and demands under or by virtue of the debentures of the Company except the right of the holder to receive in respect thereof such cash bonds and interest as hereinbefore provided shall be at an end.

Rate of
exchange,
and dealing
with
fractions.

7. For the purpose of ascertaining the amount in bonds of the Michigan Corporation to be substituted for debentures of the Company four dollars eighty-six cents shall be deemed the equivalent of one pound And in case any holder of a debenture or debentures of the Company would be entitled on surrender of the whole of his debentures upon such computation to a fraction of a one hundred dollars bond he shall be entitled to the equivalent of such fraction in cash or at his option to receive a bond for one hundred dollars on payment of the difference between the nominal amount of such fraction and the nominal value of a bond for one hundred dollars.

Redemp-
tion of
income
stock.

8. The Company shall be entitled as against the several holders at any time within one year from the passing of this Act to redeem all or any part of the said income stock for the time being outstanding by payment to the holders of forty per centum of the nominal value thereof in cash and five per centum of the nominal value thereof in fully paid stock of the Company created by or under this Act and may apply in or towards such redemption as well as in payment of the cash payable under this Act to the holders of preference shares and ordinary shares respectively of the original capital any funds of the Company including the proceeds of the sale of any of the said shares in the Michigan Corporation and the proceeds of the sale or issue (which may be made at such price as the Company may deem fit) of the balance unapplied under this Act of its fully paid stock.

Trustees to
give effect
to conver-
sion.

9. The trustees of the deed of the twenty-fourth day of April one thousand eight hundred and ninety shall execute and do such instruments and things as may be necessary or expedient for conversion of the debentures of the Company in manner provided by this Act and upon the delivery to them or other trustee or trustees approved by them of a mortgage by the Michigan Corporation of the property upon which the bonds of the Michigan Corporation are to be secured shall transfer to the Company the

shares mentioned in the said deed of the fifteenth day of May one thousand eight hundred and ninety and deliver up the certificates therefor. A.D. 1900.

10. The memorandum and articles of association of the Company shall as from the registration of the holders of preference and ordinary shares as holders of fully paid ordinary stock under the provisions of this Act be and be deemed to be altered as follows (that is to say):—

Alteration
of memo-
randum and
articles of
association.

The memorandum—

By substituting for Clause 5 thereof the words and figures

“The capital of the Company is £185,000 consisting of £185,000 fully paid stock.”

The articles of association—

(A) By striking out Articles 4 and 5:

(B) By introducing at the commencement of Article 39 the words “The holders of stock created by the G. H. Hammond Company (Limited) Act 1900 and also”:

(C) By adding at the end of Article 40 the words “For the purpose of this article stock created by the G. H. Hammond Company (Limited) Act 1900 shall be deemed to be stock resulting from the conversion of ordinary shares”:

(D) By substituting “£1,000” for “£5,000” in Article 62:

(E) By striking out from Article 73 the words “in accordance with Article 5 of the memorandum of association” and by substituting therefor the words “by a majority of three fourths in number on a show of hands or three fourths in value on a poll of holders of shares of the class voting thereon”:

(F) By striking out from Article 74 the words “except as otherwise provided in Article 5 of the memorandum of association”:

(G) By substituting “£1,000” for “£500” in Article 81 and “£600” for “£3,500” in Article 82:

(H) By striking out Article 116.

11. Stock registered under this Act in the name of any person shall be deemed for all purposes as substituted for the share or shares in respect of which it may be so registered and shall devolve accordingly.

Stock to
devolve as
shares
converted.

12. The Company shall forward to the Registrar of Joint Stock Companies a printed copy of this Act and it shall be recorded by him and if such copy is not forwarded within three months from

Copy of
Act to be
forwarded
to Registrar

A.D. 1900.
of Joint
Stock
Companies.

the passing of this Act the Company shall incur a penalty not exceeding two pounds for every day after the expiration of those three months during which the copy is omitted to be forwarded and every director and manager of the Company who knowingly and wilfully authorises or permits such default shall incur the like penalty and every penalty under this Act shall be recoverable summarily.

Costs of Act.

13. All costs charges and expenses of and incident to the preparing obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Company.

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